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Supreme Court, U.S.

FILED

AUG 21 1995

CLERK

No. 94-1140

In The
Supreme Court of the United States
October Term, 1995

**44 LIQUORMART, INC. and PEOPLES
SUPER LIQUOR STORES, INC.,**

Petitioners,

v.

**STATE OF RHODE ISLAND and RHODE ISLAND
LIQUOR STORES ASSOCIATION,**

Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The First Circuit

**BRIEF OF RESPONDENT
RHODE ISLAND LIQUOR STORES ASSOCIATION**

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STATEMENT OF THE CASE

Petitioners 44 Liquormart, Inc. and Peoples Super Liquor Stores, Inc. (Liquormart, Peoples, petitioners) have been granted this Court's writ of *certiorari* to the United States Court of Appeals for the First Circuit. They ask that the decision in 44 *Liquormart, Inc. v. State of Rhode Island*, 39 F.3d 5 (1st Cir. 1994), be reversed. The Court limited its review to the question: "Whether Rhode Island may, consistent with the First Amendment, prohibit truthful, non-misleading price advertising regarding alcoholic beverages?" Relying primarily on the four-prong balancing test set forth in *Central Hudson Gas and Electric Corp. v. Public Service Comm'n of New York*, 447 U.S. 557 (1980), petitioners assert that two Rhode Island statutes violate their First Amendment right to free commercial speech. Respondent Rhode Island Liquor Stores Association (RILSA), on the other hand, maintains that the court of appeals correctly held that there was no violation of petitioners' constitutional rights particularly when the Twenty-first Amendment to the United States Constitution is added to the balance.

After a hearing on December 17, 1991, the Rhode Island liquor control administrator found that Liquormart had violated the provisions of R.I. Gen. Laws § 3-8-7. Appendix (A.)¹ 48. She imposed a \$400 fine which Liquormart paid; Liquormart did not take an administrative appeal. A. 20-21.

¹ Citations to the appendix "A." refer to the appendix to the petition for a writ of *certiorari*.

Peoples owns several liquor stores in Massachusetts. It was interested in advertising liquor prices in Rhode Island media outlets to attract Rhode Island purchasers to its Massachusetts stores but was prevented from doing so by the provisions of R.I. Gen. Laws § 3-8-8.1. A. 49.

On February 28, 1992, Liquormart and Peoples filed this action against the Rhode Island liquor control administrator.² RILSA's motion to intervene as a defendant was granted. The trial was conducted on March 11, 1993. The parties stipulated to a number of facts, including that "[t]he proposed speech does not concern an illegal activity and presumably would not be false or misleading" and that "[t]he State of Rhode Island has a substantial interest in regulating the sale of alcoholic beverages." J.A.³ 47. The record of the trial consists of the transcript of the deposition testimony of one expert and the presentations of the parties, augmented by the depositions of two additional experts. *Id.*

In his Memorandum and Order, first noting the "pronounced lack of unanimity among researchers who have studied the effects of alcohol advertising," A. 22, the district court judge reviewed the testimony presented. He observed that the experts presented by the plaintiffs "maintained * * * that there is no empirical evidence that the presence or absence of alcohol price advertising significantly affects levels of alcohol consumption." A. 23.

² The State of Rhode Island was subsequently substituted in lieu of the liquor control administrator.

³ Citations to the appendix "J.A." refer to the joint appendix to the briefs on the merits.

The judge required the state to bear the burden of justifying the alcohol price advertising ban. He rejected the argument that the Twenty-first Amendment adds a presumption of validity to the state statutes and, thus, shifts the burden of proof to the party challenging its constitutionality. A. 42-43. The court held: "I find as a fact that Rhode Island's off-premises liquor price advertising ban has no significant impact on levels of alcohol consumption in Rhode Island." A. 31. Based on that factual conclusion, the judge found that the statutes are unconstitutional because they impermissibly restrict commercial speech. A. 47.

RILSA and Rhode Island each appealed that decision to the court of appeals. The appeal was argued on February 10, 1994. On May 2, 1994, the court issued the first of its three opinions. J.A. 16, 24. The trial court's decision was reversed in part and sustained in part: the statutes were held to be constitutional insofar as Rhode Island merchants are affected but unconstitutional as applied to Massachusetts merchants. In reaching its decision the court applied the *Central Hudson* test:

At the outset, we must determine whether the expression is protected by the First Amendment. For commercial speech to come within that provision, it at least must concern lawful activity and not be misleading. Next, we ask whether the asserted governmental interest is substantial. If both inquiries yield positive answers, we must determine whether the regulation directly advances the governmental interest asserted, and whether it is not more extensive than is necessary to serve that interest.

Central Hudson, 447 U.S. at 566.

All parties petitioned for a rehearing and suggested a rehearing en banc. J.A. 16, 24. Those petitions were denied on July 8, 1994. On that same date, the court's May 2 judgment was vacated, the opinion withdrawn, and a second opinion was substituted.⁴ J.A. 16-17, 24-25. The result reached in the second opinion was the same as that of the first decision although the reasoning regarding Massachusetts merchants differed. The court specifically provided that the parties could file petitions for rehearings with suggestions for rehearing en banc by July 22, 1994. All parties took advantage of that opportunity. J.A. 17-18, 25-26.

Liquormart and Peoples' petition was denied on July 29, 1994. A. 16. On October 24, the petitions filed by RILSA and the state were granted, the July 8 opinion was withdrawn, and the judgment of that date was vacated. A. 15. In its place a third opinion was issued and judgment was entered for RILSA and the state. On reconsideration, the court found that petitioners had waived the issue of the relationship between the Commerce Clause and the Twenty-first Amendment by failing to brief it on appeal. A. 11-12. Thus, the court held that, without the Commerce Clause, Peoples could not prevail on its claim. Therefore, the district court's decision was reversed. A. 14. Petitioners subsequently filed their petition to this Court on December 27, 1994.⁵ J.A. 18, 27. The petition was granted on May 1, 1995. J.A. 19, 27.

⁴ This second opinion was designated "not for publication." J.A. 17.

⁵ In their statement of the case, petitioners assert that jurisdiction in the district court was based in part on 42 U.S.C. § 1983. RILSA suggests that the § 1983 claim was waived by the

SUMMARY OF ARGUMENT

The bedrock issue presented in this case is whether the Twenty-first Amendment enables a state to meet the requirements of the *Central Hudson* test when that state regulates truthful, non-misleading advertising of alcoholic beverages. Contrary to petitioners' contentions, this Court has recognized a presumption of validity for governmental regulation of alcoholic beverages. The Court has also recognized the connection between advertising and demand. Furthermore, where advertising seeks to increase the demand for products and activities deemed harmful to the public – "vices" – this Court affords deference to legislative judgments.

In its application of the *Central Hudson* test, the court of appeals found that the presumption of validity drawn from the Twenty-first Amendment provided the state assistance in meeting its burden of proof for the third and fourth prongs. Not only did the state derive the benefit of the presumption, but it was also benefited in meeting its burden from the deference given to legislative judgments where vices are at issue. Furthermore, the state was assisted by the lesser protection afforded to commercial speech about vice than to any other form of protected speech.

petitioners' complete failure to pursue it in the district court and before the court of appeals. To be sure, the claim was raised by the complaint, but was not mentioned again until the petition for writ of *certiorari* was filed in this Court. Furthermore, petitioners specifically assert that their argument "was and is squarely based upon the First Amendment." Petitioners' brief at 25.

When assessing whether a regulation on speech is not more extensive than necessary, a court may consider whether there are numerous and obvious alternatives. In this case reasonable alternatives are neither numerous nor obvious. In any event, the Rhode Island legislature's judgment that the alcohol price advertising ban advances the state's interest in temperance is reasonable and that is enough to meet the last two prongs of *Central Hudson*.

Rhode Island's policy prohibiting alcohol price advertising applies to foreign merchants when doing business in Rhode Island. Massachusetts has established a different policy which cannot legitimately overwhelm that of its neighbor. Rhode Island does not control liquor merchandising in Massachusetts; Massachusetts must not control liquor merchandising in Rhode Island.

The implications of the decision in this case reach far beyond the two statutes at issue. At stake is government's ability to continue to protect the public health, safety, morals, and welfare. Without the ability to restrict certain advertising, the government will lose one of its most effective tools against overreaching by those who would promote legal but harmful products and activities.

ARGUMENT

I. The Twenty-first Amendment vests broad authority in the individual states to regulate alcoholic beverages.

This case questions whether the Twenty-first Amendment allows a state to impose limitations on commercial

speech regarding alcoholic beverages or whether First Amendment protections override government's interest in protecting the public's health, safety and welfare. The closest the Court has come to exploring the exact question raised in this case was in *Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691 (1984). At issue there was Oklahoma's provision banning alcohol advertising. The Court decided the case on preemption grounds finding that the state ban "interfered with a regulatory area that the [Federal Communication] Commission has explicitly pre-empted." 467 U.S. at 705. Having reached that conclusion, the Court did not examine the relationship between the Twenty-first Amendment and the First Amendment. It did, however, touch upon the effect of the Twenty-first Amendment on a state's authority to regulate advertising of alcoholic beverages. Justice Brennan, writing for a unanimous court, observed:

Although the District Court found that "consumption of alcoholic beverages in Oklahoma has increased substantially in the last 20 years despite the ban on advertising of such beverages," * * * *we may nevertheless accept Oklahoma's judgment that restrictions on liquor advertising represent at least a reasonable, albeit limited, means of furthering the goal of promoting temperance in the State.* The modest nature of Oklahoma's interests may be further illustrated by noting that Oklahoma has chosen not to press its campaign against alcoholic beverage advertising on all fronts. * * * [A] state regulatory scheme obviously need not amount to a comprehensive attack on the problems of alcohol consumption in order to constitute a valid exercise of state power under the Twenty-first Amendment * * * .

467 U.S. at 715 (emphasis added). Likewise, and quite recently, the Court approached the question in *Rubin v. Coors Brewing Co.*, 514 U.S. ___, 115 S.Ct. 1585 (1995). There a federal statute restricting commercial speech on beer labels was reviewed. The government invoked the Twenty-first Amendment in aid of its argument that its statutory scheme " 'facilitate[d]' state efforts to regulate alcohol * * * ." 115 S.Ct. at 1591. The Court rejected that notion:

Even if the Federal Government possessed the broad authority to facilitate state powers, in this case the Government has offered nothing that suggests that States are in need of federal assistance. *States clearly possess ample authority to ban the disclosure of alcohol content* – subject, of course, to the same First Amendment restrictions that apply to the Federal Government.

Id. (emphasis added). Thus, the Court continues to recognize that the Twenty-first Amendment confers heightened regulatory authority to the states where alcoholic beverages are concerned. Ultimately the Court concluded that the label ban at issue in *Coors Brewing* failed the *Central Hudson* test "because of the overall irrationality of the Government's regulatory scheme." 115 S.Ct. at 1592.

Citing to a number of this Court's decisions, petitioners assert that: "[t]he Court has consistently rejected states' attempts to rely upon the Twenty-first Amendment as a justification for abrogating other constitutional provisions." Petitioners' brief at 27-28. Each of those decisions was made on its own merits in the light of its own facts and is not dispositive of the commercial speech

issue in this case. The litany is protracted: *Dept. of Revenue v. James B. Beam Distilling Co.*, 377 U.S. 341 (1964) (import-export clause); *Wisconsin v. Constantineau*, 400 U.S. 433 (1971) (due process clause); *Craig v. Boren*, 429 U.S. 190 (1976) (equal protection clause); *South Dakota v. Dole*, 483 U.S. 203 (1987) (Congress' spending power); *California Retail Liquor Dealer's Ass'n v. Midcal Aluminum, Inc.*, 445 U.S. 97 (1980) (antitrust laws); *Bacchus Imports, Ltd. v. Dias*, 468 U.S. 263 (1984) (economic protectionism); *Brown-Forman Distillers Corporation v. New York State Liquor Authority*, 476 U.S. 573 (1986) (commerce clause); *324 Liquor Corp. v. Duffy*, 479 U.S. 335 (1987) (antitrust laws); *Healy v. The Beer Institute*, 491 U.S. 324 (1989) (commerce clause); *Larkin v. Grendel's Den, Inc.*, 459 U.S. 116 (1982) (establishment clause). Petitioners' brief at 28-29. It is also unavailing.

Petitioners do not acknowledge the decisions in *Posadas de Puerto Rico Associates v. Tourism Company of Puerto Rico*, 478 U.S. 328 (1986), and *United States v. Edge Broadcasting Company*, 509 U.S. ___, 113 S.Ct. 2696 (1993), much less appreciate their applicability. Their impact was recognized in *Coors Brewing* where the Court observed that in *Posadas de Puerto Rico*, "we found that the Puerto Rico Legislature's interest in promoting the health, safety, and welfare of its citizens by reducing their demand for gambling provided a sufficiently 'substantial' government interest to justify the regulation of gambling advertising." 115 S.Ct. at 1591. Furthermore, *Coors Brewing* distinguished its facts from *Edge Broadcasting*: "Unlike the situation in *Edge Broadcasting*, the policies of some States do not prevent neighboring States from pursuing their own alcohol-related policies within their respective borders."

Id. Both of those propositions appear in the instant case: 1) Rhode Island, like Puerto Rico, has an interest in promoting the health, safety, and welfare of its citizens and seeks to do so by reducing their demand for alcoholic beverages; 2) petitioners' insistence that Massachusetts retailers must be allowed to advertise in Rhode Island media would prevent Rhode Island from pursuing its own alcohol related policy.

Posadas de Puerto Rico examined the constitutionality of a Puerto Rico statute and regulations which prevented the advertising of casino gambling to Puerto Ricans although advertising to tourists was allowed. The appellants, operators of a hotel and casino, claimed that the statute was violative of the First Amendment's protection of commercial speech, both facially and as applied. The Court applied the *Central Hudson* test. Easily finding that the first two prongs of the test were satisfied, the Court turned to an analysis of the " 'fit' between the legislature's ends and the means chosen to accomplish those ends":

The Puerto Rico Legislature obviously believed, when it enacted the advertising restrictions at issue here, that advertising of casino gambling aimed at the residents of Puerto Rico would serve to increase the demand for the product advertised. We think the legislature's belief is a reasonable one, and the fact that appellant has chosen to litigate this case all the way to this Court indicates that appellant shares the legislature's view.

478 U.S. 341-42. In the same manner, the Rhode Island legislature presumably believed⁶ that eliminating price advertising would decrease the overall advertising of liquor and, thus, lessen the demand.

In *Edge Broadcasting* the federal statutory ban on broadcast lottery advertisements in non-lottery states was upheld in the face of a First Amendment challenge. Initially the Court observed:

[T]he activity underlying the relevant advertising – gambling – implicates no constitutionally protected right; rather, it falls into a category of “vice” activity that could be, and frequently has been, banned altogether.

113 S.Ct. at 2703. Applying the *Central Hudson* test, the fit between the restriction and the government interest was found to be reasonable. Although the government could have protected its interests in other ways, the regulation was found not to be more extensive than necessary. 113 S.Ct. at 2704-2705. Importantly, the Court stated: “Within the bounds of the general protection provided by the Constitution to commercial speech, we allow room for legislative judgments.” 113 S.Ct. at 2707. *Edge Broadcasting* is the clearest exposition of the current standard to be applied in the context of commercial speech advertising of various vices. The Court considered the balancing of interests between lottery and non-lottery states as “the substantial governmental interest that satisfies *Central*

⁶ The reasoning of the Rhode Island General Assembly must remain a matter of conjecture for all parties. The statutes at issue were enacted 39 years ago in 1956, 44 *Liquormart*, 39 F.3d at 6, and Rhode Island has no recorded legislative history.

Hudson." 113 S.Ct. at 2704. "We made clear in [*Board of Trustees of State Univ. of New York v. Fox*, [492 U.S. 469 (1989)]] that our commercial speech cases require a fit between the restriction and the government interest that is not necessarily perfect, but reasonable. * * * This was also the approach in *Posadas* * * * ." 113 S.Ct. at 2705 (citations omitted).

The Court observed that Congress has banned the broadcast advertising of cigarettes.⁷ From that fact it extrapolated:

If there is an immediate connection between advertising and demand, and the federal regulation decreases advertising, it stands to reason that the policy of decreasing demand for gambling is correspondingly advanced. Accordingly, the Government may be said to advance its purpose by substantially reducing lottery advertising, even where it is not wholly eradicated.

Edge Broadcasting, 113 S.Ct. at 2707. So, too, in *Central Hudson* itself the Court observed: "There is an immediate connection between advertising and demand for electricity." 447 U.S. at 569. Thus, as the Court of Appeals for the Ninth Circuit has recognized: "[t]he Supreme Court assumes as a matter of law that advertising increases

⁷ The Court also cited *Queensgate Investment Co. v. Liquor Control Comm'n*, 69 Ohio St.2d 361, 366, 433 N.E.2d 138, 142, app. dismiss'd for want of a substantial federal question, 459 U.S. 807, 103 S.Ct. 31, 74 L.Ed.2d 45 (1982), where the Ohio court remarked: "an advertising prohibition aids the interest in preventing [alcoholic beverage] consumption." The speculation in the lower courts regarding the authority of *Queensgate* should lapse following the decision in the instant case.

consumption of the product or service being advertised." *Cal-Almond, Inc. v. U.S. Department of Agriculture*, 14 F.3d 429, 439 (9th Cir. 1993), citing *Posadas de Puerto Rico* and *Central Hudson*. The state's interest in promoting temperance by decreasing consumption is logically advanced by the ban on alcohol price advertising.

In decrying the power of the Twenty-first Amendment, petitioners are particularly reliant on *Larkin v. Grendel's Den, Inc.* and the nude-dancing line of cases commencing with *California v. LaRue*, 409 U.S. 109 (1972). *Larkin* is of doubtful precedential value to the case at bar in spite of the statement: "The State may not exercise its power under the Twenty-first Amendment in a way which impinges upon the Establishment Clause of the First Amendment." 459 U.S. at 123 n.5. Thus, while it is true, as petitioners point out in their brief at 29, that *Larkin* did not recognize an added presumption of constitutionality provided by the Twenty-first Amendment, the Court nonetheless commented:

Given the broad powers of states under the Twenty-first Amendment, judicial deference to the legislative exercise of zoning powers by a city council or other legislative zoning body is especially appropriate in the area of liquor regulation.

459 U.S. at 122-23. The statute under review was not, however, a legislative exercise of zoning power, but rather a delegation of a veto power to private entities. 459 U.S. at 123. In a footnote the observation is made: "The Twenty-first Amendment reserves power to states, yet here the State has delegated to churches a power relating to liquor sales." *Id.* at n.5.

The behavior regulated in *LaRue* is admittedly a far cry from the price advertising of alcoholic beverages banned by Rhode Island's statutes. The nude-dancing cases are not important to this case for their subject matter. Rather, their significance lies in the broad language utilized by the Court to explain the scope of the Twenty-first Amendment. "The reach of the Twenty-first Amendment is certainly not without limit, but previous decisions of this Court have established that, in the context of liquor licensing, the Amendment confers broad regulatory powers on the States." *City of Newport, Ky. v. Iacobucci*, 479 U.S. 92, 95-6 (1986) (footnote omitted). "[A] State has broad power under the Twenty-first Amendment to regulate the times, places and circumstances under which liquor may be sold." *N.Y. State Liquor Authority v. Bellanca*, 452 U.S. 714, 716 (1981). The strongest endorsement of the Twenty-first Amendment is found in *LaRue*:

While the States, vested as they are with general police power, require no specific grant of authority in the Federal Constitution to legislate with respect to matters traditionally within the scope of the police power, *the broad sweep of the Twenty-first Amendment has been recognized as conferring something more than the normal state authority over public health, welfare, and morals.*

409 U.S. at 114 (emphasis added). *LaRue* has been questioned and criticized but its authority has not been overruled. The Twenty-first Amendment still retains its force where regulation of alcohol is concerned.

Petitioners claim that in *Coors Brewing*, 115 S.Ct. at 1589-90 n.2, the Court "disaffirmed any implication that

the Twenty-first Amendment gives the State any added weight in the *Central Hudson* analysis." They also assert that: "This case is a logical extension of *Rubin*." Petitioners' brief at 10. They indulge in a very broad reading of footnote 2 in *Coors Brewing* which addresses whether *Edge Broadcasting*, *Posadas de Puerto Rico*, and *LaRue* affect the quantum of proof required by the *Central Hudson* test. Only *LaRue* is an alcohol case and, as the Court pointed out, it is not a commercial speech case. *Edge Broadcasting* and *Posadas de Puerto Rico* are commercial speech cases which explore the advertising of gambling. The Twenty-first Amendment is not even mentioned in the footnote. Furthermore, rebutting petitioners' position, *Coors Brewing* specifically acknowledges: "Still, *Virginia Board of Pharmacy* [*v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748 (1976)] suggested that certain types of restrictions might be tolerated in the commercial speech area because of the nature of such speech." 115 S.Ct. at 1589.

Many cases have explored the reach of the Twenty-first Amendment. Each case cited by petitioners has balanced various constitutional interests against the Twenty-first Amendment. Each has recognized that the Twenty-first Amendment must be taken into account when the subject of the case is regulation of alcohol. In just two cases, *Capital Cities Cable* and *Coors Brewing*, has the Court considered commercial speech in conjunction with the Twenty-first Amendment. Not all of the advertising ban was struck down in *Capital Cities Cable* – only that preempted by comprehensive federal regulations. The Court accepted Oklahoma's judgment to ban advertising. 467 U.S. at 715. In *Coors Brewing* the Twenty-first Amendment

was found to confer no augmented authority on the federal government's regulation of alcoholic beverages but the court noted the states' ample authority to ban disclosure of alcohol content. 115 S.Ct. at 1591. If the states have the authority to ban content labelling, it would follow that they have authority to ban price advertising. In fact, the Court when enumerating the alternatives to the alcohol content label ban in *Coors Brewing*, mentioned "prohibiting marketing efforts emphasizing high alcohol strength." 115 S.Ct. at 1593. *Capital Cities Cable* and *Coors Brewing* both support the premise that, by virtue of the Twenty-first Amendment, the individual states possess broad authority to regulate commercial speech about alcoholic beverages.

II. The *Central Hudson* test was properly applied by the Court of Appeals for the First Circuit.

The court in 44 *Liquormart* did not find that the Twenty-first Amendment overrides the First Amendment. Rather, it found that the Twenty-first Amendment assists the state in sustaining its burden of proof when applying the *Central Hudson* test in an alcohol regulation framework. Thus, when applying the last two prongs of that test, the court of appeals found that the "'intermediate' scrutiny of restrictions on commercial speech," *Florida Bar v. West For It, Inc.*, ___ U.S. ___, 115 S.Ct. 2371, 2375 (1995), is augmented by the Twenty-first Amendment. Petitioners argue that *Coors Brewing* expressly rejected the added presumption which the court of appeals applied in this case. Petitioners' brief at 27. Even if that were so, however, the context is quite different. The Twenty-first

Amendment was not directly involved in *Coors Brewing*. In 44 *Liquormart* the court of appeals appropriately held that there is an added presumption of validity to a state's statutes regulating alcohol because of the Twenty-first Amendment. 44 *Liquormart*, 39 F.3d at 8, A. 7-8.

In upholding the validity of the Rhode Island statutes pertaining to alcohol price advertising, the appeals court panel applied the *Central Hudson* test to the facts before it. Finding no need to consider the first two prongs, since there was no question presented by the first and the state's interest was stipulated,⁸ the court focused on the last two issues: whether the regulation directly advances the governmental interest asserted, and whether it is not more extensive than is necessary to serve that interest. *Central Hudson*, 447 U.S. at 566. Petitioners assert that the court incorrectly resolved those questions. However, when the issues are viewed in the light of a spectrum of this Court's commercial speech decisions, the court of appeals' opinion is clearly right.

A. The statutes under review directly advance the state's interest in promoting temperance.

The court of appeals, first noting that the burden of proof is on the party seeking suppression, determined that the district court had applied too strict a test. In deciding whether a statute directly advances the state's

⁸ Several *amici* focus arguments on whether the state sustained its burden of proof of the second prong of the *Central Hudson* test. That fixation is highly inappropriate since the interest was stipulated and neither the district court nor the court of appeals considered the question at all.

interest, "[i]t is not correctness, it is reasonableness." 44 *Liquormart*, 39 F.3d at 7, A. 5. The court looked to a wider range of this Court's cases than do petitioners. Thus, it recognized that the *Central Hudson* phrase "directly advances" is not absolute. *Id.*

In support of that recognition, the court cited *Edenfield v. Fane*, 507 U.S. ___, 113 S.Ct. 1792 (1993), which addressed whether a certified public accountant has a protected First Amendment right to solicit business personally. Florida law prevented that practice. This Court observed:

[L]aws restricting commercial speech, unlike laws burdening other forms of protected expression, need only be tailored in a reasonable manner in order to survive First Amendment scrutiny.

113 S.Ct. at 1798. Applying "this intermediate standard of review," the Court found that the regulation of Certified Public Accountants by the State of Florida was unduly burdensome on First Amendment rights. Basically, in *Edenfield* the fit between the stated interests and the regulation was found to be missing even under a "reasonable manner" standard.

There is a difference in that standard when the Court speaks of advertising of professional services and when it considers advertising of vices. Two lines of cases have emerged in commercial speech cases: one concerning an individual's right to market his or her profession and the other addressing the state's right to protect the health, safety and welfare of its citizens from various vices. *Edge Broadcasting* characterized vice activities as those that

"[can] be, and frequently [have] been, banned altogether." 113 S.Ct. at 2703. Adopting that characterization, the control of alcohol qualifies as the regulation of a vice. In fact, this Court has specifically categorized alcohol with cigarettes, gambling and prostitution as "products or activities deemed harmful." *Posadas de Puerto Rico*, 478 U.S. at 346. *Posadas de Puerto Rico* and *Edge Broadcasting* typify the approach taken by this Court when government regulates advertising of vice activities.

Central Hudson established the test by which regulation of commercial speech is to be measured. However, developments since *Central Hudson* have not altered the secondary status afforded commercial speech in the pantheon of First Amendment's rights. Furthermore, as the most recent cases show, particularly *Edge Broadcasting*, even within the commercial speech category there is a hierarchy of more and less protected areas of speech. Where vice is concerned, more leeway is allowed and this Court defers to the legislative judgment. Just as there are two levels of First Amendment speech protection, commercial speech being subordinate to noncommercial speech, there are two levels of commercial speech protection – vice regulation and professional regulation are afforded different levels of First Amendment protection.

After the decisions in *Posadas de Puerto Rico* and *Edge Broadcasting*, there can be no doubt that the *Central Hudson* test is currently considerably less exacting than originally formulated. In fact, this Court has explicitly recognized that "other formulations in our commercial speech cases support a more flexible meaning for the *Central Hudson* test." *Fox*, 492 U.S. at 477. After all, "[t]here are common sense differences between speech

that does 'no more than propose a commercial transaction,' * * * and other varieties." *Virginia State Board of Pharmacy*, 425 U.S. at 771 n.24. Petitioners' failure to acknowledge this second line of cases considerably weakens their claims before this Court.

The most recent case applying the *Central Hudson* test is *Florida Bar*. There, the Court denied a First Amendment challenge to a court rule forbidding lawyers' solicitations of victims or their families within 30 days of an accident or a disaster. The Court emphasized the breadth of the record developed by the Florida Bar prior to presenting its recommendations to the court. It went on to say, however:

[I]n other First Amendment contexts, we have permitted litigants to justify speech restrictions by reference to studies and anecdotes pertaining to different locales altogether, see *City of Renton v. Playtime Theatres, Inc.*, 475 U.S. 41, 50-51 (1986); *Barnes v. Glen Theatre, Inc.*, 501 U.S. 560, 584-585 (1991) (Souter, J., Concurring in the judgment), or even, in a case applying strict scrutiny, to justify restrictions based solely on history, consensus, and "simple common sense," *Burson v. Freeman*, 504 U.S. 191, 211 (1992). Nothing in *Edenfield, supra*, a case in which the State offered no evidence or anecdotes in support of its restriction, requires more.

115 S.Ct. at 2378 (emphasis in original). In the instant case both the district court and the court of appeals agreed that there was "no empirical evidence either way." 44 *Liquormart*, 39 F.3d at 7, A. 6. Although both plaintiffs and defendants presented their experts, the district court noted "a pronounced lack of unanimity among

researchers who have studied the effects of alcohol advertising." 44 *Liquor Mart*, 829 F.Supp. 543, 546 (1993), *rev'd sub nom. 44 Liquormart, Inc. v. Rhode Island*, 39 F.3d. 5 (1st Cir. 1994). Lacking proof positive that the price ban advanced the state's asserted interest and unpersuaded that the Twenty-first Amendment altered the equation, the district court found that the state had not carried its burden of proof. 829 F.Supp. at 554. The court of appeals disagreed.

The court of appeals observed that: "there would seem inherent merit in the State's contention that competitive price advertising would lower prices, and that with lower prices there would be more sales." 44 *Liquormart*, 39 F.3d at 7, A. 7. It commented that: "the State is entitled to a reasonable choice." 44 *Liquormart*, 39 F.3d at 7, A. 6. The court of appeals properly accepted Rhode Island's determination. This Court does not require empirical evidence to rebut the policy determinations of state legislatures. Room is allowed for legislative judgment. *Edge Broadcasting*, 113 S.Ct. at 2707. Furthermore, the court of appeals recognized that the Twenty-first Amendment adds weight to the state's regulation of intoxicating liquors when applying the *Central Hudson* test.

Petitioners assert that: "Under *Central Hudson* the government must prove an 'immediate connection' between the government's asserted interest and the prohibition on speech." Petitioners' brief at 15. That is simply not what *Central Hudson* holds. The immediate connection that the Court there found was between advertising and demand. The Court further pointed out that: "Central Hudson would not contest the advertising ban unless it believed that promotion would increase its

sales." 447 U.S. at 569. That is exactly the point at issue in this case with the addition of the question whether increasing alcoholic beverage sales is a worthy First Amendment goal.

Petitioners are chagrined by the court of appeals' finding that "[a]dvertising must be generally productive or so much money would not be spent on it." 44 *Liquor-mart*, 39 F.3d at 8, A. 7; petitioners' brief at 19. This Court, of course, agrees with the court of appeals' proposition. See *Central Hudson*, 447 U.S. at 569; *Posadas de Puerto Rico*, 478 U.S. at 341-42; *Edge Broadcasting*, 113 S.Ct. at 2707. Further, petitioners charge that the court of appeals failed to consider that advertising expenditures have been rising while consumption has been decreasing. Petitioners' brief at 19. The court of appeals was not presented with that "salient fact," *id.*, so it should come as no surprise to petitioners that it was not considered.⁹

⁹ Petitioners' respect for the record below contains some holes. At trial the petitioners attempted to have the vintage New York State Moreland Commission on the Alcoholic Beverage Control Law, *Report and Recommendations No. 3*, January 21, 1964, introduced as a full exhibit. Respondents objected arguing that the report was hearsay and had not been relied on by petitioners' experts. Petitioners contended that the report was admissible under either Federal Rules of Evidence 803(8) or 803(18). The trial judge sustained the state's objection. The report was, thus, not before the trial justice. Nevertheless, petitioners relied on the report in their brief to the court of appeals. Respondents again objected, arguing that the report was not a part of the record. Tenaciously, petitioners again relied on the Moreland Report in their petition to this court and in their brief on the merits. Petitioners' brief at 18, n.11. They observe that the report "has been noticed by several courts in ruling on alcoholic beverages related issues." In those cases the report was on the

Citing *Central Hudson*, petitioners appear to argue that Rhode Island's price advertising ban is a "blanket ban on commercial speech." Petitioners' brief at 20, *quoting Central Hudson*, 447 U.S. at 566, n.9. Nothing could be further from the truth. The ban only extends to advertisement of the prices at which alcoholic beverages are offered for sale. All other advertising of alcoholic beverages is permitted in Rhode Island. National advertising is omnipresent. The Rhode Island legislature may well have believed that the ban on price advertising would lower the overall incidence of alcohol promotions. Generally speaking the available beverages do not vary substantially from retailer to retailer. Thus, the only major difference between one liquor store and another may be the prices at which the alcohol is sold. Without being able to advertise lower prices, merchants may well decide not to advertise at all. To the extent that the ban reduces overall advertising by retailers who believe it is not cost effective, the state's interest in promoting temperance is furthered.

Because the state had the burden of proof under *Central Hudson*, petitioners fault the court of appeals for finding that the district court was not "free to choose." Petitioners' brief at 13-14. In support of their view that,

record. That report is not a part of the record in this case and petitioners' reliance on it is entirely misplaced. Petitioners at least tried to introduce the Moreland report, which is more than they did with M. J. Waterson, *ADVERTISING BRANDS AND MARKETS*, (Advertising Ass'n Monograph, 2nd ed. 1985) on which they relied in their petition 23-24 n.11, and on which they continue to rely in their brief at p. 20. That report is directed to any court's attention for the first time in their petition and brief.

when insufficient proof is presented by both parties the party bearing the burden must lose, they rely on *Pennsylvania R. Co. v. Chamberlain*, 228 U.S. 333 (1933). *Chamberlain* is a tort case dating from 1932. There a train brakeman was killed in the railroad yard, an event to which there were no direct eyewitnesses. The opinion explores the inferences to be drawn from what was observed and the angle of the vantage spot. The language quoted indeed appears. 228 U.S. at 339. Otherwise the case is unpersuasive in a First Amendment context. The court of appeals in effect found that the district court had exceeded its authority in finding: "Rhode Island's off-premises liquor price advertising ban has no significant impact on levels of alcohol consumption in Rhode Island." 44 *Liquor Mart*, 829 F.Supp. at 549, A. 31. There was "no empirical evidence either way." 39 F.3d at 7, A. 6. Thus, "the State is entitled to a reasonable choice. This includes choice of method – it is not obliged to prove that some other method, e.g., taxation, would be less effective." *Id.* The court of appeals cited *Fox*, 492 U.S. at 478:

[W]e have not insisted that there be no conceivable alternative, but only that the regulation not "burden substantially more speech than is necessary to further the government's legitimate interest," * * *. And we have been loath to second-guess the Government's judgment to that effect.

(Citations omitted; emphasis added.) Thus, the court was following the dictates of this Court.

The court of appeals' opinion follows this Court's precedents in the commercial speech arena. Petitioners' reliance on cases analyzing commercial speech in the advertising of professional services is unavailing. This is

not a case where "what is at stake is the suppression of information and knowledge that transcends the financial self-interests of the speaker." *Florida Bar*, 115 S.Ct. at 2382 (Kennedy, J., dissenting). At issue in this case is advertising that does no more than propose a commercial transaction. Petitioners want to sell more liquor and would like to advertise low prices to do so. The state has an interest in promoting temperance and, thus, does not want to encourage more liquor sales. The price advertising ban directly advances the state's interest and the court of appeals correctly so found.

B. The statutes under review are no more extensive than necessary to serve the state's interest in promoting temperance.

In *Fox* the Court clarified the application of "necessary" in the last element of the *Central Hudson* test, "not more extensive than is necessary to serve that interest." The standard is *not* one of least-restrictive-means but is instead similar to the test for time, place, and manner restrictions on protected speech: "[T]he reason of the matter requires something short of a least-restrictive means standard." 492 U.S. at 477. Rather:

What our decisions require is a "'fit' between the legislature's ends and the means chosen to accomplish those ends," * * * – a fit that is not necessarily perfect, but *reasonable*; that represents not necessarily the single best disposition but one whose scope is "in proportion to the interest served;" * * * that employs not necessarily the least restrictive means but, * * * a means tailored to achieve the desired objective.

Within those bounds we leave it to governmental decisionmakers to judge what manner of regulation may best be employed.

492 U.S. at 480 (citations omitted; emphasis added).

Without citing to any specific language so holding, petitioners maintain that the court of appeals adopted a rational-basis test for determining whether the statutes are more extensive than necessary. Petitioners' brief at 23. Reference to the opinion demonstrates that petitioners are just plain wrong: the test applied by the court of appeals was that of "reasonableness." 39 F.3d at 7, A. 5. That is precisely the standard applied by the decisions of this Court. *Fox*, 492 U.S. at 480; *Edge Broadcasting*, 113 S.Ct. at 2705. The standard applied by the district court and rejected by the court of appeals approached a least-restrictive-means test. That more stringent test was specifically rejected in *Fox*. 492 U.S. at 480-81.

Certainly the ban on price advertising is narrowly drawn and encroaches minimally on plaintiffs' First Amendment rights to commercial free speech. In Rhode Island they are welcome to advertise any truthful facts regarding the products which they offer to sell except the price at which they sell them. The challenged statutes represent a legislative judgment that the ban advances the state's interest in temperance among its citizens. The state is allowed to make that choice. 44 *Liquormart*, 39 F.2d at 7, A. 6; *Edge Broadcasting*, 113 S.Ct. at 2707. The Rhode Island price advertising ban decreases alcohol advertising within the state, even though it does not entirely eradicate it. Under *Edge Broadcasting*, that is a constitutionally sound legislative policy.

The trial judge referred to alternatives which the legislature might have chosen: "higher sales taxes or minimum consumer prices." 44 *Liquor Mart, Inc. v. Racine*, 829 F.Supp. at 554, A. 45. The petitioners have adopted those alternatives as their own. Petitioners' brief at 23. They rely on *City of Cincinnati v. Discovery Network, Inc.*, 507 U.S. ___, 113 S.Ct. 1505 (1993), and *Coors Brewing* to make their point that the availability of alternatives indicates that the statutes are not sufficiently narrowly drawn to satisfy the *Central Hudson* test. *City of Cincinnati* refers to "numerous and obvious less-burdensome alternatives." 113 S.Ct. at 1510 n.13. *Coors Brewing* points out several alternatives to the alcohol content label ban. 115 S.Ct. at 1593. The alternatives to the price advertising ban are certainly not numerous and have obvious problems. Raising taxes on liquor would likely kill the industry in Rhode Island where staying in-state requires more ingenuity than getting out of it. Creating a state minimum price would raise antitrust and constitutional problems of its own. 324 *Liquor Corp. v. Duffy*; *California Retail Liquor Dealer's Ass'n v. Midcal Aluminum, Inc.* The decision in *Edge Broadcasting* validated the *Fox* approach: "not necessarily perfect, but reasonable." *Edge Broadcasting*, 113 S.Ct. at 2705. That is the test appropriately applied by the court of appeals.

Reasonably viewed the Rhode Island statutes prohibiting alcohol price advertising, albeit limited, are constitutionally acceptable means of furthering the goal of promoting temperance in the state. *Capital Cities Cable*, 467 U.S. at 715. The court of appeals was entirely in concert with the decisions of this Court in that regard. The statutes under review pass constitutional muster.

III. Rhode Island's ban on alcohol price advertising is constitutionally applicable to out-of-state retailers.

Although it is not entirely clear that the issue is included within the question propounded by this Court, petitioners maintain that the price-advertising ban cannot apply to an out-of-state entity. Petitioners' brief at 24. The point petitioners fail to grasp is that the applicable Rhode Island statute, R.I. Gen. Laws § 3-8-8.1, A. 49, applies only to activity taking place within the circumscribed borders of that state. Quoting *Bigelow v. Virginia*, 421 U.S. 809, 824-25 (1975), petitioners take issue with the court of appeals' statement: "if a party wishes to come into a state and do business, to some extent at least, it should be subject to the same regulations as are its local counterparts." 44 *Liquormart*, 39 F.3d at 9, A. 10-11. *Bigelow*, however, does not require that Rhode Island must allow alcohol price advertising by out-of-state retailers. Selling alcoholic beverages is legal in Massachusetts; Rhode Island does not attempt to bar retailers from disseminating information regarding that activity. Nevertheless, *Bigelow* does not go so far as to permit Massachusetts law allowing price advertising to dictate to Rhode Island what its laws must provide. "Advertising, like all public expression may be subject to reasonable regulation that serves a legitimate public interest." 421 U.S. at 826. Rhode Island has determined that its temperance interest is served by prohibiting alcohol-price advertising. Massachusetts has made a different decision regarding price advertising, but its policies cannot be imposed upon a sister state pursuant to any authority derived from *Bigelow*. The majority decision in *Edge Broadcasting* implicitly recognized that fact when it refused to acknowledge the

dissent's interpretation of *Bigelow's* sway. See *Edge Broadcasting*, 113 S.Ct. at 2708-09 (Stevens, J., dissenting).

Plaintiffs claim that the alcohol-price advertising ban "concerns the sale of products outside [Rhode Island's] jurisdiction." Petitioners' brief at 24. They further imply that Rhode Island is regulating economic activity in Massachusetts. The Rhode Island measures regarding price advertising have absolutely no impact on what Massachusetts retailers may or may not do in Massachusetts. The statutes do control what a Massachusetts retailer may do in Rhode Island. However, it is entirely within the scope of Rhode Island's police power, even without resort to the Twenty-first Amendment, to regulate within its borders retailers' commercial activities whether those retailers be from Rhode Island, Massachusetts, or any other jurisdiction. As the court of appeals observed, "if a party wishes to come into a state and do business, to some extent, at least, it should be subject to the same regulations as are its local counterparts." 44 *Liquormart*, 39 F.3d at 9, A. 10-11.

Rhode Island's ban on the advertising of liquor prices in Rhode Island media outlets is a reasonable exercise of its power to regulate alcohol under the Twenty-first Amendment. All other advertising of liquor is allowed. Thus, information regarding brand availability, assortment, and quality may be readily advertised in Rhode Island media sources by both Rhode Island merchants and those from Massachusetts. Rhode Island does not exert any control over what its citizens may buy in Massachusetts. Furthermore, of course, the Rhode Island regulations make no effort to curb Massachusetts price advertising in Massachusetts media outlets. A dealer in

Massachusetts may advertise his prices in Massachusetts without regard to any Rhode Island regulation. Indeed, he may advertise his wares in Rhode Island without offending any law or regulation. What he cannot do is to advertise the price of his wares in Rhode Island newspapers, through Rhode Island radio station advertisements or Rhode Island television station commercials. Rhode Island retailers are subject to the exact same strictures. The relationship between Massachusetts and Rhode Island advertisers is the same as that at issue in *Edge Broadcasting* between North Carolina and Virginia advertisers. On the issue of out-of-state advertisers, the decision in *Edge Broadcasting* is controlling.

IV. A finding that Rhode Island's statutes are unconstitutional will have reverberating results for federal, state, and local governments.

There is a larger issue than Rhode Island's two statutes lurking in the wings of this case. The broader question is to what extent government, federal, state, or local, is able to legislate to protect the health, safety, and welfare of its citizens from rampant advertising of harmful products or activities. In *Virginia State Board of Pharmacy* the court deprecated the "highly paternalistic approach" represented by a ban on advertising the price of prescription drugs. 425 U.S. at 770. On the other hand, in *Posadas de Puerto Rico* and *Edge Broadcasting* advertising bans on gambling activities were sustained. Of course, prescription drugs are a necessity and gambling, for the undicted, is most certainly not. The same holds for cigarettes, alcohol, and prostitution, which are not necessary to maintain a quality of life except for those whose

lives revolve around them. Does government have the duty to take steps designed to minimize the incidents of addiction to such "vices" among its constituents? Does it have the right to do so? If there is an immediate connection between advertising and demand, *Central Hudson*, 447 U.S. at 569, may advertising of vices be regulated consistent with the First Amendment? *Central Hudson* stands for the proposition that under certain circumstances the First Amendment must give way to other governmental interests. Decreasing incidences of addiction is just such a governmental interest. To the extent that advertising increases the demand for vices, advertising should continue to be subject to governmental regulation.

In both *Edge Broadcasting* and *Posadas de Puerto Rico* deference was paid to the legislative judgment which restricted the advertising of gambling. *Edge Broadcasting*, 115 S.Ct. at 2707; *Posadas de Puerto Rico*, 478 U.S. at 344. Such deference has not been accorded to regulation of professionals marketing their careers. Thus, in *Edenfield v. Fane*, although the state's interest was found to be substantial, there was no deference paid to the Florida legislature's scheme. 113 S.Ct. at 1798. The result was similar in *Ibanez v. Florida Dept. of Business and Professional Regulation*, ___ U.S. ___, 114 S.Ct. 2084 (1994). RILSA urges the Court to apply its approach to the gambling advertising cases, rather than that to the career advertising cases, to the other areas of vice as they arrive in this forum.

A finding that Rhode Island's statutes are constitutionally infirm could seriously implicate the validity of the ban on broadcast advertising of cigarettes. 15 U.S.C.

§ 1335. The constitutionality of that provision was challenged in *Capital Broadcasting Company v. Mitchell*, 333 F.Supp. 582 (D.D.C. 1971) summarily aff'd *sub nom. Capital Broadcasting Co. v. Acting Attorney General*, 405 U.S. 1000 (1972). Presumably if Rhode Island may not ban alcohol price advertising, it is equally unconstitutional for the federal government to ban cigarette broadcast advertising.

In like manner, Nevada has legalized prostitution under certain restrictions. Nev.Rev.Stat. § 244.345. It balances that legalization with restrictions on advertising the availability of the activity. Nev.Rev.Stat. §§ 201.430, 201.440. If Rhode Island may not restrict some form of alcohol advertising then it seems likely that The Chicken Ranch brothel in Nye County, Nevada, can erect billboards throughout the state and beyond. *Princess Sea Industries v. State, Clark County*, 635 P.2d 281, 284 (Nev. 1981) (Manoukian, J. concurring).

Currently, the Distilled Spirits Council of the United States (DISCUS) voluntarily refrains from broadcast advertising. That is apparently because it is convinced that, were its members to initiate radio and television advertising, Congress would immediately enact a ban. Steve Younger, *Alcoholic Beverage Advertising on the Airwaves: Alternatives to a Ban or Counteradvertising*, 34 UCLA L. REV. 1139, 1145 (1987). Should Rhode Island's statutes fall, the threat would be empty and DISCUS would be free to take to the airways. The likelihood of that scenario coming to pass is strengthened by the fact that DISCUS is an *amicus* in support of petitioners in this case.

Maryland has delegated to the City of Baltimore the authority to restrict certain advertising of alcoholic beverages "necessary for the promotion of the welfare and temperance of minors." *Anheuser-Busch v. Mayor and City Council*, 855 F.Supp. 811, 812-13 (D.Md. 1994). Baltimore responded by enacting a ban on billboards advertising spirituous beverages. The constitutionality of the ordinance was challenged. Applying the *Central Hudson* test, the district court rejected the First Amendment claim relying on this Court's "deference to a legislative judgment that advertising increases consumption." 855 F.Supp. at 818. That determination is pending decision in the Court of Appeals for the Fourth Circuit. There are no doubt a myriad of state and local laws guarding public health, safety, morals, and welfare that would become suspect if Rhode Island's legislative judgment is discarded.

President Clinton has proposed sweeping measures to attack the problem of teen-age smoking. He was answered with an immediate suit by the tobacco industry and a promised complaint by the advertising industry. *Nicotine Attack, Cigarette Regulation Is Formally Proposed; Industry Sues to Halt It*, WALL ST. J., Aug. 11, 1995, at A1, A10. While the announcement is only the opening salvo in a new government initiative, should the Court hold that commercial advertising of harmful activities cannot be regulated, a large portion of the proposal will be left twisting in the wind.

There will be far-reaching ramifications to the decision in this case. RILSA urges the Court to consider not just the discrete measures directly before it, but also the many areas where restrictions on advertising may be

government's only weapon in an uphill battle against various vices.

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CONCLUSION

For all of the foregoing reasons, respondent Rhode Island Liquor Stores Association respectfully urges that the decision of the Court of Appeals for the First Circuit be sustained.

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